

As it is in the US, it is in Canada: if you want your FICO score, you have to pay the small fee. FICO does not give freebies. Canada uses the FICO score as well, and it is important to know what your score is since that is the number that determines your credit fate.

The same guidelines apply to getting and reviewing the credit report and disputing any errors or erroneous information. There could be outdated items, incorrect items, or items that simply are not yours. The credit reporting agency has 30 days to verify the accuracy of the item you are questioning or it must be removed from the credit report. You can also contact the creditor directly to clean up the item and they can forward the correction to the credit reporting agency. You also have the right to add a “consumer statement” to your credit report to explain an accurate yet negative item. Also the credit reporting agency should forward the corrected report to anyone who has requested it in the last six months.

Credit Scores

The methods and techniques to lower the credit score apply the same no matter where you live. What you have read in these chapters works for you in Canada as well. The same tips to improving the credit score apply. For example, getting a secured credit card from a Canadian financial institution that reports to the credit reporting agencies is a quick way to up the credit score. Canadian lenders also like to see that you have a checking account and a savings account, so make sure that you open those two accounts. Canadian credit unions are easy to work with and a good place to start building credit. Follow all the other tips previously outlined in the earlier chapters and the credit score will head north!

One thing to note, some credit reporting agencies also use a credit rating. Each item on the credit report is rated on a scale of 1 to 9. In this case, the higher number is not better. A nine indicates that you don't pay your bills on time to that creditor or that you are negotiating a debt repayment plan. The lower rating is best; one means you pay each month on time.

The rating also includes a letter that indicates the type of credit of that item. R stands for revolving, which is all your credit cards. I is for installment loans, like a car loan or a personal loan. O indicates open, for example, a line of credit. You are approved for up to so much and